

1. What is globalization primarily driven by?
A) **International trade and investments** C) Cultural exchanges
B) National policies D) Technological advancements
2. According to the World Health Organization, what are the two interrelated elements of globalization?
A) Economic growth and cultural exchange
B) **Opening of borders and changes in institutions**
C) Political cooperation and technological advancement
D) Migration and trade agreements
3. Which of the following best describes Thomas Friedman's view on globalization?
A) It is a temporary phase in world history.
B) **It is the integration of markets, nation states, and technologies.**
C) It leads to cultural homogenization.
D) It primarily benefits developing countries.
4. What historical trade route connected China to Rome?
A) Spice Route C) Transatlantic Route
B) **Silk Road** D) Maritime Silk Route
5. During which period did Muslim traders dominate Mediterranean and Indian Ocean trade?
A) Age of Discovery C) **Spice Routes**
B) First Wave of Globalization D) Industrial Revolution
6. Which statement about advanced technology and globalization is true?
A) Technology has decreased due to globalization.
B) Advanced technology hinders communication between nations.
C) Technology only benefits developed countries.
D) **Globalization has led to increased demand for advanced technologies.**
7. What is one potential negative effect of globalization on the environment?
A) Decreased use of natural resources
B) **Increased pollution due to higher production and transportation**
C) Improved sustainability practices
D) Enhanced conservation efforts
8. In terms of job production, what role do interpreters and translators play in globalization?
A) They manage financial transactions.
B) **They facilitate communication across languages.**
C) They design marketing strategies.
D) They conduct market research.
9. How does increased competition in the market impact consumers?
A) It raises product prices.
B) It limits the variety of products available.
C) **It enhances product quality and lowers prices.**
D) It drives small businesses out of the market.
10. What does job insecurity refer to in the context of globalization?
A) Increased job opportunities for skilled workers.
B) Decreased reliance on foreign labor.
C) **Uncertainty in employment due to global competition.**
D) Stability in government jobs.

11. What is one of the criteria for measuring globalization?
A) Cultural Homogeneity C) Environmental Sustainability
B) **Political Engagement** D) Local Governance
12. Which of the following is included in personal contact as a measure of globalization?
A) International treaties C) Foreign direct investment
B) **Telephone calls** D) Economic sanctions
13. What does technological connectivity measure in the context of globalization?
A) Number of multinational corporations
C) Number of trade agreements
B) **Number of internet users**
D) Number of cultural exchanges
14. Which country ranked first in the overall ranking of Best Countries in 2024?
A) United States C) **Switzerland**
B) Japan D) Canada
15. What is a criticism of globalization related to developed and developing countries?
A) **Unequal players in globalization**
C) Increased cultural exchange
B) Equal distribution of resources
D) Enhanced technological growth
16. What is often a result for workers in developing countries due to globalization?
A) Increased salaries in all industries
B) Stable and secure employment
C) **Unfair treatment and substandard working environments**
D) Comparable opportunities to those in advanced economies
17. How do developed countries often restrict trade with developing countries?
A) By reducing tariffs
C) By promoting free trade agreements
B) **By imposing high tariffs**
D) By providing subsidies
18. In what way has globalization affected market reactions worldwide?
A) Markets are now completely independent
B) **Stock markets are interconnected globally**
C) Local markets have no influence from global events
D) Market volatility has decreased significantly
19. What happens when a country surrenders its sovereignty due to globalization?
A) **It becomes less powerful in global affairs**
B) It gains more control over its economy
C) It strengthens its national identity
D) It increases its economic independence
20. Which factor is NOT typically associated with technological connectivity?
A) Number of secure servers
C) **Level of political engagement**
B) Number of internet users
D) Number of internet hosts
21. Outsourcing is best defined as:
A) Expanding business operations overseas
B) **Hiring another firm's employees to perform tasks previously done in house**

- C) Investing in new technology
D) Increasing marketing efforts
22. Outsourcing helps higher- income earning countries to:
- A) Focus on manufacturing
B) **Move to higher segments of the value-added chain**
C) Decrease international trade
D) Reduce technological innovation
23. By outsourcing specialized jobs, companies can focus on their _____ business.
- A) Peripheral
B) Secondary
C) **Core**
D) Minor
24. Legal Process Outsourcing (LPO) involves:
- A) **Outsourcing legal services from a third-party**
C) Creating new laws
B) Moving legal departments overseas
D) Ignoring legal regulations
25. Having both on-site and off-site teams increases _____ in completing legal projects.
- A) Complexity
B) Cost
C) **Efficiency**
D) Time
26. Outsourcing is only used by large corporations.
- A) True
B) **False**
27. According to Federal Law in the US, companies can defer payment of tax on profits earned abroad:
- A) **True**
B) False
28. Government outsourcing always transfers control to a third party.
- A) True
B) **False**
29. LPO is decreasing in India.
- A) True
B) **False**
30. LPO companies are typically not well-equipped with AI-based solutions.
- A) True
B) **False**
31. What is the key difference between offshoring and outsourcing?
- A) Offshoring always involves IT services, while outsourcing does not.
B) **Offshoring involves relocating operations to another country, while outsourcing contracts tasks to another company.**
C) Outsourcing is always cheaper than offshoring.
D) Offshoring is only for large corporations, while outsourcing is for small businesses.
32. Which of the following is a primary benefit of offshoring?
- A) Increased control over all business processes.
B) **Reduced labor costs due to lower cost of living in other countries.**
C) Elimination of communication barriers.
D) Guaranteed higher quality of work.
33. What is meant by "economies of scale" in the context of offshoring?
- A) **Large offshore teams working around the clock, increasing productivity.**
B) Smaller teams working more efficiently.
C) Reduced investment in technology infrastructure.
D) Lower quality standards for offshore teams.
34. Offshoring provides access to:
- A) Only unskilled labor.
B) **A vast global talent pool with specialized skills.**
C) Limited technology infrastructure.
D) Only workers willing to work for minimum wage.
35. How does offshoring contribute to 24/7 operations?
- A) By forcing employees to work overtime.
B) By eliminating the need for customer support.
C) **By distributing teams across different time zones.**
D) By using robots to perform all tasks.
36. What is IT Enabled Offshoring linked to?
- A) Decreased availability of communication infrastructure
B) **Availability of large amounts of reliable and affordable communication infrastructure.**
C) A shift towards more expensive communication methods
D) A complete reliance on face-to-face communication
37. What is a key driver behind most outsourcing decisions?
- A) Desire to increase costs
B) **Desire to reduce costs, transform processes, and improve service quality.**
C) A focus on maintaining the status quo
D) A disregard for service quality
38. The initial and most crucial step in offshoring is:
- A) Immediately firing underperforming employees
B) Ignoring potential operational challenges
C) **Identifying which parts of the business you should offshore.**
D) Moving all business processes offshore at once
39. What is an operational challenge in offshoring?
- A) **Growing pains on the operations side during the transition.**
B) Complete lack of any need for changes
C) Guaranteed success from day one
D) Absence of any risks during the transition
40. What is a structural challenge in offshoring?
- A) A smooth and seamless partnership with the offshoring provider
B) **A problematic partnership with the offshoring provider.**
C) Guaranteed delivery of promised quality
D) Complete alignment of expectations between both parties
41. What is a primary concern related to time zone differences in offshoring?
- A) Increased productivity
B) **Difficulty in scheduling and communication**
C) Reduced travel costs
D) Enhanced cultural understanding
42. What is a potential challenge related to communication in offshoring?
- A) Everyone speaks the same language perfectly
B) **Language proficiency differences can lead to misunderstandings**
C) Communication is always smoother with non-native speakers
D) No need for translation services
43. What impact can cultural and social differences have on offshoring projects?
- A) Faster project completion
B) No impact on project timelines
C) **Impact on project timelines and team dynamics**
D) Standardized holiday schedules

44. Geopolitical unrest in offshoring locations can lead to what?

- A) Increased stability
- B) **Business operations disruption**
- C) Reduced risks
- D) Improved security

45. What is a common criticism of offshoring?

- A) Creation of more U.S. jobs
- B) Increased level of employment in the U.S.
- C) **Displacement of U.S. jobs**
- D) Boost to the national economy

46. What is the central theme of KPO?

- A) Process expertise only
- C) **Creating value through business expertise**
- B) Business expertise only
- D) Avoiding business expertise

47. What does KPO emphasize?

- A) Execution of standardized processes
- C) Avoiding customization
- B) **Carrying out highly complex processes**
- D) Basic technical skills

48. Which of the following is NOT a type of KPO service?

- A) Investment research services
- C) Patent research services
- B) Market research services
- D) **Factory automation**

49. What is a significant benefit of KPO related to cost?

- A) Significant cost increases
- C) **Companies can save 40-50%**
- B) Costs do not change
- D) Minor cost savings

50. What is another benefit of KPO related to employees?

- A) Companies can fire employees
- B) **Companies are able to find skill labor to help support them**
- C) Companies can hire unskilled employees to do the job
- D) Companies can keep the task to their self.

51. What is Business Process Outsourcing (BPO)?

- A) Hiring internal staff for business functions
- B) **Employing a third-party service provider for business functions**
- C) Buying IT equipment for business processes
- D) Outsourcing only manufacturing processes

52. What was the global BPO market size in 2024?

- A) USD 200 billion
- C) USD 500 billion
- B) **USD 315.46 billion**
- D) USD 840.60 billion

53. Which industry first used BPO extensively?

- A) IT services
- C) Banking
- B) **Manufacturing**
- D) Telecommunications

54. What is a key benefit of BPO?

- A) Increased overhead costs
- C) **Focus on core business functions**
- B) Lower efficiency
- D) Limited global expansion opportunities

55. How does BPO help in global expansion?

- A) By reducing costs in local markets
- B) By managing core business activities overseas
- C) **By providing expertise in local laws and languages**
- D) By eliminating the need for international offices

56. Which factor contributed to the rise of RPO at the turn of the century?

- A) Lack of recruiting tools in the market
- B) Decreased scrutiny on budgets
- C) **Market complexities during the early 2000s**
- D) Reduced interest in talent acquisition

57. Which benefit does RPO provide regarding compliance?

- A) Ignoring industry regulations entirely
- B) **Helping employers stay updated on changing regulations**
- C) Reducing compliance efforts across industries
- D) Avoiding legal scrutiny altogether

58. How can RPO improve candidate experience?

- A) **By building brand recognition and providing positive experiences**
- B) By eliminating talent pipelines
- C) By reducing communication with candidates
- D) By focusing solely on internal hiring practices

59. What is a key risk associated with the stability of an RPO vendor?

- A) **Lack of professionalism among vendor personnel**
- B) Overdependence on internal teams
- C) Increased data security threats
- D) Poor communication with stakeholders

60. Why might poor control of the outsourced process occur in RPO?

- A) Lack of skilled employees
- B) **Too many people trying to manage the process**
- C) High turnover rates among employees
- D) Weak compliance standards

61. What does BPO stand for?

- A) Business Productivity Organization
- C) Business Program Outsourcing
- B) **Business Process Outsourcing**
- D) Business Project Operations

62. Which industry segment is the fastest growing in the Indian ITES sector?

- A) Hardware
- C) **Business Process Outsourcing (BPO)**
- B) Software Development
- D) Networking

63. When did the BPO industry in India begin to grow significantly?

- A) Late 1980s
- C) Early 2000s
- B) **Mid-1990s**
- D) 2010s

64. What is a key benefit of outsourcing to third-party BPO providers?

- A) Increased bureaucracy
- C) **Cost reduction and efficiency**
- B) Higher costs
- D) Slower response times

65. What type of functions can be outsourced to BPO providers?

- A) Only IT support
- B) Only billing
- C) **Both internal (like billing) and front-of-house (like customer support) functions**
- D) Only marketing

66. What share of the global offshore BPO market does India retain?

- A) 10%
- B) 25%
- C) 65%
- D) 90%

67. Which city is considered the software hub and the birthplace of India's outsourcing revolution?

- A) Mumbai
- B) Chennai
- C) Bangalore
- D) Delhi

68. Which city is known for its low cost of living, better infrastructure, and low attrition rates?

- A) Hyderabad
- B) Chennai
- C) Pune
- D) Kolkata

69. What is a key factor making Mumbai an ideal outsourcing location?

- A) Limited IT resources
- B) Unfavorable government policies
- C) Excellent infrastructure and skilled IT resources
- D) High attrition rates

70. What is the main competitive advantage of the Philippines over India in BPO?

- A) Cheaper costs
- B) Accent and multi-language skills
- C) Larger workforce
- D) Better infrastructure

71. What is the primary purpose of a business process?

- A) To increase employee salaries
- B) To produce a specific service or product for customers
- C) To develop new markets
- D) To train new employees

72. Which of the following is NOT a typical category of business processes?

- A) Core processes
- B) Support processes
- C) Management processes
- D) Marketing processes

73. Analyzing and optimizing business processes can result in all the following EXCEPT:

- A) Increased operational costs
- B) Improved quality
- C) Reduced costs
- D) Increased customer satisfaction

74. The concept of business processes first emerged with the rise of:

- A) The internet
- B) Modern computers
- C) Management theories and practices in the early 20th century
- D) Social media

75. Which improvement area focuses on eliminating waste and reducing cycle times?

- A) Quality
- B) Flexibility
- C) Efficiency
- D) Employee engagement